Reforms to Monetary Policy Formulation

Even in the midst of fighting such fierce inflation, we introduced several innovations to the monetary policy framework

The system I inherited had two policy rates, the repo rate, the rate of interest charged on commercial banks when they borrow overnight from the Reserve Bank, and the reverse repo rate, the rate of interest paid to banks when they deposit money overnight with the Reserve Bank. Both these rates used to be varied independently to calibrate the monetary policy stance. This system of two independently varying policy rates afforded more degrees of freedom to the Reserve Bank, but at the cost of higher uncertainty in the money market about the precise monetary policy stance of the central bank.

We reformed the framework in May 2011 by increasing the degree of certainty to the market by voluntarily curtailing our own degrees of freedom. First, we said that the repo rate would be the only independently varying policy rate. The reverse repo rate would be made a dependent variable by pegging it at a fixed 100 basis points (1 per cent) below the repo rate. Banks borrow from the Reserve Bank's liquidity adjustment facility (LAF) window by giving government securities as collateral. But what happens if they do not have sufficient government securities to borrow? The second bit of reform was to provide for such a contingency by instituting a marginal standing facility (MSF), which is a window open to banks to borrow at a penal rate of interest.

Third, we indicated that the weighted average call money rate would be the operating target for the Reserve Bank, which is to say that the Reserve Bank would manage liquidity in such a way that the call money rate would remain within the 100 basis points band defined by the repo rate and the reverse repo rate. Finally, we indicated that we would manage liquidity in such a way that the commercial banks' access to the LAF window where they borrow overnight would be restricted to 1 per cent of the bank's total net demand and time liabilities.